Topics	Advantages	Disadvantages
Sole Proprietorships	The simplest and most cost-effective option, sole proprietorships offer complete control and flexibility.	However, they lack personal liability protection, and the business's income is taxed as individual income, which may result in higher tax rates as your business grows.
Partnerships	Partnerships allow partners to share resources, expertise, and workload. They also provide pass-through taxation, avoiding double taxation.	However, partners are personally liable for the business's debts and obligations, and potential conflicts among partners can arise.
Limited Liability Companies (LLCs)	LLCs offer personal liability protection and pass-through taxation, making them a popular choice for small businesses and consulting firms. They also provide flexibility in management structure and profit distribution.	However, LLCs may face self-employment taxes and have limited access to specific employee benefit programs.
Corporations	Incorporating your consulting business can provide personal liability protection, credibility, and potential access to capital.	However, corporations are subject to more stringent reporting requirements, and C corporations face double taxation on profits and dividends.